

Required Report: Required - Public Distribution

Date: March 18, 2025

Report Number: BG2025-0002

Report Name: Oilseeds and Products Annual

Country: Bangladesh

Post: Dhaka

Report Category: Oilseeds and Products

Prepared By: Tanvir Ahmed

Approved By: Sarah Gilleski

Report Highlights:

The installation of Bangladesh's Interim Government in August 2024, has led to a renewed focus on macroeconomic stability, which will enable increased exports to the market as restrictions on Letters of Credit ease as foreign currency reserves stabilize. For marketing year (MY) 2025/26 Post forecasts higher soybean imports to meet the demands of the animal feed industry. Bangladesh continues to expand domestic oilseed production with both rapeseed and soybean production forecast to increase in MY 2025/26.

Executive Summary

On August 5, 2024, Bangladesh underwent a political regime change, when former Prime Minister Sheikh Hasina fled the country following a student-led movement and mass uprising that started in July 2024. An interim government (IG) was formed on August 8, 2024, led by Nobel Laureate Muhammad Yunus as the Chief Advisor. As of March 2025, after eight months under the IG, the macroeconomic situation has begun to stabilize. The IG is focused on macroeconomic reform and has worked to stabilize the exchange rate and slow the decline in foreign currency (forex) reserves. This has made it easier for some importers to open Letters of Credit (LCs) compared to a year ago. Additionally, inflation, which had been rising, began to decline in February 2025.

The poultry, livestock, and aquaculture sectors continue to expand in Bangladesh. Large commercial poultry farms have increased their capacity, along with contract poultry farms. Many small and medium poultry farmers have also resumed operations due to the reduction in feed costs over the last year. More livestock and aquaculture producers are switching to complex feed with animal feed consumption forecast at 7.5 million metric tons (MT). Bangladesh aims to ensure a per capita supply of 165 eggs per year, 270 grams of milk per day, and 150 grams of meat per day by 2030.

OILSEEDS SITUATION AND OUTLOOK

Oilseed crop production in Bangladesh includes mustard/rapeseed, sesame, groundnut (peanut), sunflower, and soybeans. The largest oilseed produced in Bangladesh is rapeseed, however, these rapeseed varieties are commonly known and consumed as “mustard seed.” Sesame and groundnuts are also important, with sesame known for its high oil content and groundnuts used for both oil extraction and as a food crop. Soybean production is increasing due to its demand in the feed industry. The primary season for oilseed cultivation is the *rabi* season (winter), spanning from November to March, particularly for mustard/rapeseed, soybean, and sunflower. Sesame and groundnuts are typically grown during the *kharif* season (monsoon) from June to October. The Government of Bangladesh (GoB) is focused on increasing oilseed production and farmers are adapting more advanced agricultural practices, using high-yielding varieties, and benefiting from government support initiatives.

The Department of Agricultural Extension (DAE), under the Ministry of Agriculture, reported that in Bangladesh fiscal year (FY) 2024-25 (July-June), the total oilseed cultivation area was 1.3 million hectares, with a total oilseed production estimate of 1.7 million metric tons (MT), down 4.1 percent and 4.7 percent, respectively from FY 2023-24 (Table 1). This decrease in FY 2024-25 oilseed acreage and production is mostly due to decreased mustard/rapeseed cultivation because of increased potato production. Domestically produced oilseeds meet about 15 percent of Bangladesh’s edible oil requirements. The remainder is imported as crude oil or as oilseeds.

Based on DAE’s current-year oilseed production estimates and Post’s observations of the overall demand for edible oil and animal feed, Post has increased the forecast for total oilseed area and production in FY 2025-26 to 1.3 million hectares and 1.8 million MT, respectively.

Table 1: Oilseed Area Cultivation and Production in Bangladesh

Crops	FY 2023-24 (Estimate)		FY 2024-25 (Estimate)		FY 2025-26 (Forecast)	
	Area Cultivated (000 Hectare)	Production (000 MT)	Area Cultivated (000 Hectare)	Production (000 MT)	Area Cultivated (000 Hectare)	Production (000 MT)
Peanut	78	145	79	145	79	145
Rapeseed/Mustard	1,097	1,425	1,040	1,350	1100	1450
Soybean	80	145	90	155	92	160
Sunflower	15	30	10	20	10	20
Others	64	80	60	70	60	70
Total	1,334	1,825	1,279	1,740	1,341	1,845

Source: Post’s calculation based on DAE’s data

Soybeans

Production

Post forecasts marketing year (MY) 2025/26 soybean planted area at 92,000 hectares and production at 160,000 MT, an increase of 2.2 percent and 3.2 percent, respectively, from the MY 2024/25 estimate. Over the past few years, soybean acreage has steadily increased, particularly in the coastal districts of Bangladesh, driven by favorable weather conditions during the growing season, improved marketing opportunities, and higher profitability. The forecast for MY 2025/26 assumes continued favorable weather throughout the growing season.

Bangladesh produces about seven percent of its annual soybean requirement. Soybeans are grown in very limited areas mostly in the southern belt, including Noakhali and Lakshmipur districts in Chattagram Division, and Pirojpur, Patuakhali, Borguna, and Bhola districts in Barishal Division. Domestically produced soybeans are used predominantly in the feed industry. Due to the poor quality of the beans and lower oil content, they are not used in oil production. The typical yield of soybean varieties in Bangladesh is 1.7 MT/hectare, notably lower than the global average of 2.8 MT/hectare. Bangladesh does not plant any GE soybean varieties.

In recent years, soybeans have been gaining popularity as a cash crop. The cost of soybean production is lower than other crops as farmers usually do not use irrigation for their soybean crops. Farmers sow soybeans after harvesting *aman* season rice and the remaining soil moisture from rice cultivation helps to germinate the soybeans. It takes 100-110 days to harvest the beans. However, the unavailability of high yielding varieties and lack of quality seeds continues to hamper the expansion of soybean cultivation.

Since 1990, more than ten high yielding soybean varieties have been released in Bangladesh, but approximately 60 percent of soybean farmers are still cultivating the *shohag* variety, which was officially released in 1991 and has a yield of 1.6-1.8 MT per hectare.

The Bangladesh Agricultural Research Institute (BARI) developed the BARI soybean-5 and BARI soybean-6 varieties, which are planted by about 30 percent of soybean farmers; however, limited seed supply constrains cultivation. The Bangladesh Institute of Nuclear Agriculture (BINA) and the Bangladesh Agricultural University also released several high yielding soybean varieties, but planting is limited.

Recently, Gazipur Agricultural University (GAU) developed a new soybean variety named BU Soybean-5, which has been registered by the Seed Wing of Bangladesh's Ministry of Agriculture. This variety claims to be high-yielding and short duration. While existing soybean varieties require 100-110 days from sowing to harvest, BU Soybean-5 matures in just 75-85 days. In the current marketing year (MY) 2024/25, approximately five percent of the total soybean acreage is planted with BU Soybean-5. If

farmers achieve better yields compared to other existing varieties, the adoption of BU Soybean-5 is expected to increase in the coming years.

Based on the DAE's crop production data, Post estimates MY 2024/25 soybean harvested area at 90,000 hectares and production at 155,000 MT, up 12.5 percent and 6.9 percent, respectively from MY 2023/24 estimate.

Consumption

Crush

The total daily soybean crushing capacity in Bangladesh is 17,400 MT. Currently, only four soybean crushers are in operation, City Group, Meghna Group, T.K. Group (also known as Delta Agro), and KBC Agro Industry Ltd. These crushers are currently operating at around 50-60 percent of their capacity, based on the domestic demand of soybean oil and meal. Limited supplies of gas also restrict crushers abilities to maximize on their crushing capacity. According to industry contacts, a new crusher with a daily capacity of 5,000 MT is expected to start operations in 2025.

Crushers supply around 40 percent of the soybean oil and 60 percent of the soybean meal requirement. Bangladesh imports the remaining 60 percent of the required soybean oil as crude soybean oil which is refined domestically. According to industry contacts, soybean crushers in Bangladesh primarily rely on the sale of soybean meal rather than soybean oil to generate profits. Soybean meal is one of the key ingredients in the poultry and aqua feed industry in Bangladesh. However, in the current marketing year, the price of domestically produced soybean meal has declined, while the price of soybean oil has increased. In Bangladesh, the soybean crush margin is determined by the domestic price of soybean meal, the total imports, and the total feed production volume. Currently, the locally produced soybean meal price is BDT 56 (\$0.46) per kilogram, down about 14 percent from a year ago. While the unbottled soybean oil price in February 2025 was BDT 190 (\$1.60) per liter, up 17 percent from the same period in the previous year.

Soybean crushing is expected to increase in MY 2025/26 as feed production continues to grow. Recently, commercial poultry farms have expanded their operations, and some large private feed companies have begun contract farming for poultry production. Additionally, the use of formulated feed in aquaculture has increased.

The two largest soybean crushers, own ocean-going vessels and have the financial capacity to import soybeans as needed. However, their purchasing decisions are primarily influenced by international soybean prices, as well as local prices for soybean oil and soybean meal. As of February 2025, the local price of soybean oil remains high, while the price of soybean meal is slightly lower than crushers' expectations. In the upcoming marketing year, the crushers anticipate that soybean oil prices will remain high, allowing them to increase their crushing operations.

Post forecasts MY 2025/26 whole soybean crushing at 2.4 million MT, up 9.1 percent compared to Post's MY 2024/25 estimate, on increased demand of soybean oil and soybean meal. In MY 2024/25, Post estimates total soybean crushing at 2.2 million MT. Post contacts from the crushing industry note that with a more stable exchange rate, the government may be able to secure more Liquefied Natural Gas (LNG), potentially improving the gas supply. They also observe that Bangladesh's macroeconomy is in the process of rebuilding and is expected to perform better next year, which could lead to increased demand for soybean meal in the feed industry.

Food Use Consumption

In Bangladesh, human consumption of soybean products, aside from oil, is minimal. Only a small portion of total soybean production is used for food preparation. Farmers traditionally process soybeans into various food items, such as soy milk, soya halua (a dessert), soy curd, soya piazu (a fried snack made with flour, onions, and spices), and soy flour.

A few local entrepreneurs process domestically grown soybeans into different forms of soy powder and milk, though the soybeans that they use are not food-grade. Overall, the consumer demand for soybean-based food is negligible. Post forecasts MY 2025/26 food use consumption at only 5,000 MT.

Feed, Seed, Waste Consumption

For MY 2025/26, Post forecasts feed, seed, and waste consumption at 150,000 MT the same as the MY 2024/25 estimate. Most locally grown soybeans are either supplied to the local feed industry or processed by local processors before being sold to the feed industry. These soybeans are used as full-fat soybeans in feed rations. Some feed companies also use imported soybeans as full-fat soybeans due to their higher quality. The annual estimated consumption of full-fat soybeans is around 140,000 MT. Additionally, some dairy farmers feed whole or broken soybeans to their animals, with an estimated annual usage of around 5,000 MT. Farmers prefer to keep their own seed for the next season. In a planting season, around 3,000 MT of soybeans are used as seeds by farmers.

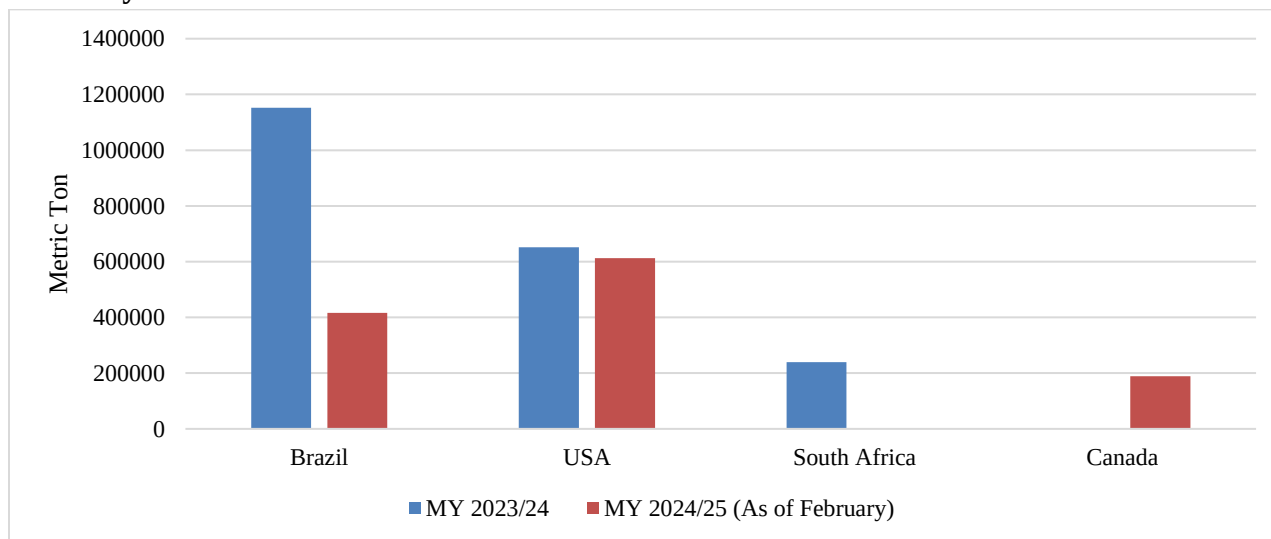
Trade

For MY 2025/26, Post forecasts total soybean imports at 2.4 million MT, up 9.1 percent from the current marketing year estimate, considering the rising demand for poultry, aqua, and dairy feed. Soybean meal makes up around 30 percent of feed ingredients used in Bangladesh. There is also always high demand for soybean oil for human consumption. Post contacts note that they expect increased demand for locally produced soybean meal next year, as its price has decreased. They anticipate higher demand for soybean meal in the feed industry and expect to sell more to the sector.

Post estimates MY 2024/25 soybean imports at 2.2 million MT. Per data from Bangladesh's National Board of Revenue (NBR), in the first eight months of MY 2024/25, Bangladesh imported 1.2 million MT of soybeans. U.S. exports during this timeframe were 612,561 MT (50 percent) while Brazil supplied 416,792 MT (34 percent) (Figure 1).

For MY 2023/24, Post revised total soybean imports to 2 million MT, based on final import data from NBR, an increase of 69 percent from the previous marketing year. South Africa is not a preferred origin for soybean imports. However, according to industry sources, a crusher imported South African soybeans between September and November 2023 due to lower prices. Similarly, another crusher imported Canadian soybeans between November and December 2024 at a lower offered price.

Figure 1: Partner Country's Soybean Exports to Bangladesh in MY 2023/24 and through February in MY 2024/25



Source: NBR

Tariffs

Bangladesh imposes no import tariffs on soybeans to support the local crushing industry and ensure a supply of oil and soybean meal at lower prices. Per the GoB's Statutory Regulatory Order (SRO) 128-2020, most of the co-products of oilseeds and corn, that are used as feed ingredients, can be imported tariff free. There are no quotas on oilseeds and related product imports. The following table shows the original customs duties and tax rates for various oilseeds and related products in Bangladesh.

Table 2: Bangladesh's Tariff Structure for Oilseeds, Soybean Meal, and Oil, FY 2024-25

HS Code	Items	CD	SD	VAT	AIT	RD	AT	TTI
1201.90.10	Soya beans, whether or not broken other than Seed, Wrapped/canned up to 2.5 Kg	0	0	15	5	0	5	25
1201.90.90	Soya beans, whether or not broken other than Seed, EXCL. Wrapped/canned up to 2.5 Kg	0	0	0	0	0	0	0
1208.10.00	Soya Bean Flours and Meals	0	0	0	5	5	5	15.25

1208.90.00	Other Flours and Meal of Oil Seeds or Oleaginous Fruits, Nes.	10	0	15	5	0	5	37
1507.10.00	Crude Oil, Whether or Not Degummed	0	0	15	0	0	5	20
1507.90.10	Refined Soya-Bean Oil	0	0	15	0	0	5	20
1507.90.90	Other Soya-Bean Oil	5	0	15	0	0	5	26
2304.00.00	Oil-Cake and Other Solid Residues, Of Soya-Bean Oil	0	0	0	5	5	5	15.25
1511.90.11	Rbd Palm Stearin	10	0	15	5	0	5	37
1511.90.19	Solidified or Hardened By Mechanical Treatment (Excl. Rbd Palm Stearin)	25	0	15	5	3	5	58.6
1511.90.90	Palm Oil (Exclude) & Its Fractions. Nes. Includ. Refined Palm Oil	0	0	15	0	0	5	20
1511.10.10	Crude palm oil imported by VAT registered edible oil refinery industries	10	0	15	0	0	5	32
1511.10.90	Crude palm oil imported by other than VAT registered edible oil refinery industries	10	0	15	0	0	5	32

Source: NBR

CD = Custom Duty; SD = Supplementary Duty; VAT = Value Added Tax; AIT = Advance Income Tax; ATV = Advance Trade Tax; RD = Regulatory Duty; TTI = Total Tax Incident

Stocks

There are no government-held soybean stocks. For MY 2025/26, Post forecasts ending stocks at 179,000 MT. Post estimates MY 2024/25 soybean stocks at 174,000 MT. Crushers try to maintain 1-2 months of stocks. Usually, soybeans are stored in large silos located at the crushing facilities.

Rapeseed

Production

Bangladeshi farmers cultivate both rapeseed (*brassica campestris and brassica napus*) and mustard (*brassica juncea*) but refer to both interchangeably as “mustard.” Agricultural research institutes in Bangladesh including BARI, BINA, and universities have released more than 20 “mustard” varieties. Among them, the most common rapeseed varieties are Tori-7, Sonil Sharisha (SS-75), Kallaynia (TS-72), Sampad, Agrani, BARI Sharisha-6, BARI Sharisha-7, BARI Sharisha-8, BINA Sharisha-3, BINA Sharisha-4, SAU Sharisha-1, and SAU Sharisha-2. The most popular mustard varieties are Rai-5, Daulat, Sambal, BARI Sharisha-10, BARI Sharisha-12, and BARI Sharisha-16. All those varieties are marketed and consumed as “mustard” in Bangladesh. Bangladesh also imports rapeseed and blends it with mustard during crushing to produce “mustard oil” for sale to the local market. Therefore, this report combines the production, marketing, and consumption data of both rapeseed and mustard.

Rapeseed/mustard requires cool temperature to grow, thus it is cultivated in the *rabi* season. The best growth of rapeseed/mustard occurs at 12-25 degrees Celsius. In Bangladesh, sowing starts in the middle of October, but in some parts of the country sowing is delayed for the late harvest of previous crop (T. *Aman* rice). The winter is very short in Bangladesh and temperatures start rising in February. So, the harvest should be completed by mid-February to have optimum yields. The average yield of mustard/rapeseed in Bangladesh is about 1.3 MT per hectare.

For MY 2025/26, Post forecasts the rapeseed/mustard harvested area at 1.1 million hectares and production at 1.5 million MT, up 5.8 percent and 7.4 percent, respectively over the MY 2024/25 estimates. In MY 2024/25, rapeseed acreage fell short of the DAE’s target as many farmers shifted to potato cultivation, anticipating higher prices. However, an oversupply of potatoes led to a price drop, causing significant losses for many farmers. Post believes that in MY 2025/26, some farmers will return to mustard cultivation.

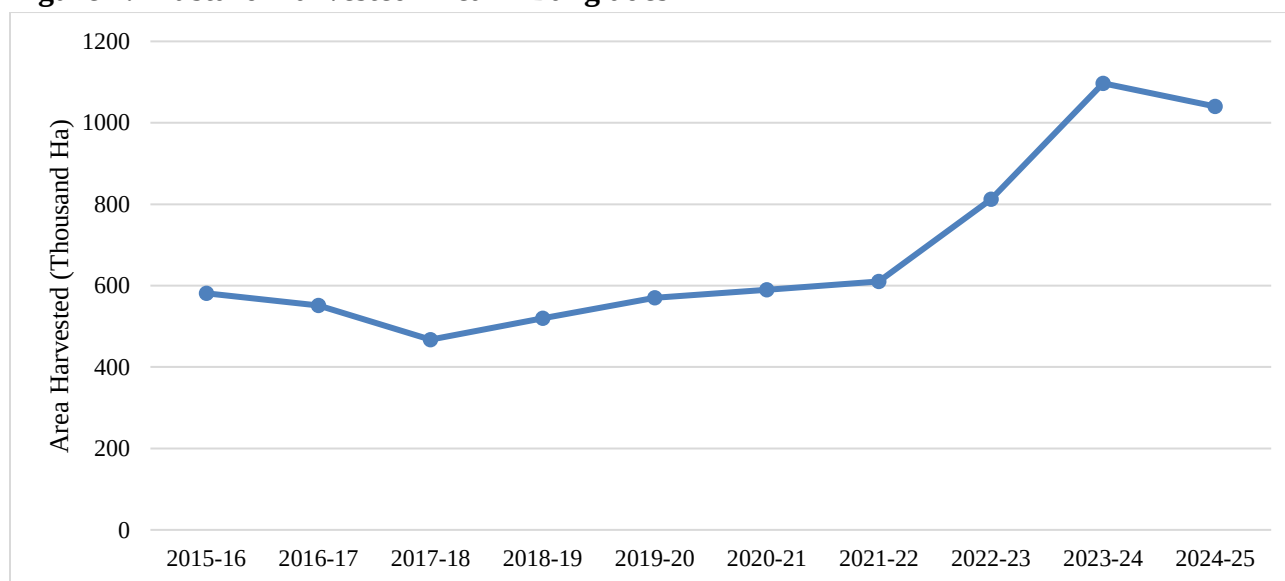
To reduce the import dependency of edible oil the Ministry of Agriculture (MOA) is focused on increasing oilseed production. In 2022, the MOA created a three-year action plan with the goal to produce 40 percent of Bangladesh’s edible oil demand by 2025. To achieve the goal, the DAE has been working to increase mustard productivity, bringing new land under cultivation in coastal and haor areas, and adjusting the cropping pattern by adding mustard in between T. *Aman* and T. *Boro* season rice. DAE has been supporting farmers with agricultural inputs and technical knowledge to boost mustard production.



Photo: Mustard fields (Mature fruiting stage; 7-10 days before harvest)

Based on DAE's crop production data and Post observations, Post reduced the MY 2024/25 rapeseed/mustard harvested area estimate to 1.04 million hectares and production to 1.4 million MT due to the increase in potato acreage.

Figure 2: Mustard Harvested Area in Bangladesh



Source: DAE

Trade

Bangladesh usually imports rapeseed to blend with mustard seed during the crushing process to produce oil, that is then marketed as mustard oil. For MY 2025/26, Post forecasts rapeseed imports at 330,000 MT, down 5.7 percent from the current MY estimate on higher domestic production.

Post estimates MY 2024/25 rapeseed imports at 350,000 MT, 75 percent higher than the USDA official estimate on lower domestic production. According to TDM, in the first four months of MY 2024/25, 115,000 MT of rapeseed was imported, with Australia and Canada supplying 113,000 MT, and the remaining 2,000 MT from Ukraine.

Per TDM, in MY 2023/24, Bangladesh imported 96.5 percent of rapeseed from Australia. Industry contacts note that Australian rapeseed has higher oil content (47 percent) over others. Australia also offered lower prices in MY 2023/24.

Consumption

Crush

Mustard crushing facilities in Bangladesh are primarily small to medium scale operations scattered across the country. These facilities process both domestically grown mustard seeds and imported rapeseed to produce mustard oil. Additionally, many traditional mustard crushing units still use cold-press methods, while larger mills have adopted modern mechanical extraction techniques. However, there is no available data on the total mustard seed crushing capacity in Bangladesh.

For MY 2025/26, Post forecasts rapeseed/mustard crushing at 1.7 million MT, which includes domestically produced rapeseed/mustard and imported rapeseed. This forecast is based on expectations of a good mustard harvest next season. Post slightly increases its MY 2024/25 crushing estimate to 1.6 million MT, based on the expectation of higher imports.

Food Use Consumption

For MY 2025/26, Post forecasts food use of mustard seed at 25,000 MT. Traditionally, mustard seed is used in making special types of curry in Bangladesh. Mustard paste/sauce known as *kashundi* is also popular Bangladesh. Some private food processing companies are producing *kashundi* at a commercial scale.

Feed, Seed, and Waste Consumption

Post forecasts MY 2025/26 feed, seed, and waste consumption of mustard/rapeseed at 100,000 MT. Some feed companies use a very small amount of rapeseed in feed preparation based on their feed formula. However, a good portion of the mustard/rapeseed is used as planting seed for the following season. Rapeseed/mustard harvest, threshing and drying are done manually in most of the areas in Bangladesh. Thus, post-harvest loss of rapeseed/mustard is high. For MY 2024/25, Post's mustard feed, seed, and waste consumption estimate is 90,000 MT.

Stocks

Post forecasts MY 2025/26 rapeseed/mustard stocks at 77,000 MT, on increased production and lower imports. There are no public warehouses to stock rapeseed/mustard. The mustard crushing mills maintain their own stocks with a couple of months supply. Many farmers also store mustard seeds for household use, keeping a few months' supply at home. Some traders stock mustard seeds in their own or rented warehouses, primarily purchasing from farmers during the harvest season and selling when market prices rise. Farmers, traders, and small-scale traditional crushers store mustard/rapeseed in 50 kg bags, while medium- and large-scale crushers use silos for storage. Post estimates MY 2024/25 rapeseed/mustard stocks at 102,000 MT. The MY 2024/25 ending stocks could be utilized for a month.

MEALS SITUATION AND OUTLOOK

The common oilseed meals produced and utilized in Bangladesh are soybean meal and rapeseed/mustard meal. The feed industry uses them as major protein sources in their feed formulations. Alongside local production, Bangladesh also imports soybean meal and rapeseed/mustard meal from various countries. With the increasing demand for formulated feed in the poultry, cattle, and aquaculture sectors, the demand for oilseed meals is on the rise.

Soybean Meal

Production

For MY 2025/26, Post forecasts soybean meal production at 1.9 million MT, up 8.4 percent from the current marketing year estimates, considering higher volume of soybean imports and crushing.

For MY 2024/25, Post's soybean meal production estimate is 1.7 million MT based on the soybean import data and insights from the crushing industry.

Feed Consumption

Post forecasts MY 2025/26 soybean meal consumption in the feed industry at 2.9 million MT, assuming a stable price and supply situation. Industry contacts noted that with the current demand for meat, eggs, and milk, the poultry, aquaculture, and dairy sectors are expected to continue growing, with the feed industry projected to produce at least 10 percent more feed annually for commercial farmers through 2030. Based on the rising demand for feed production and an increased supply of soybean meal, Post estimates MY 2024/25 soybean meal consumption at 2.7 million MT.

Feed Industry Overview

The feed industry in Bangladesh has maintained growth for more than a decade. Post forecasts 7.5 million MT of feed production in MY 2025/26. Of this total, about 70 percent is poultry feed, while the remaining portion is comprised of aqua and cattle feed. The other commonly used feed ingredients are fish meal, DDGS, extruded full fat soybeans, broken rice, rice polish, rapeseed/mustard meal, corn gluten meal, coarse limestone, and de-oiled rice barn.

According to the Feed Industry Association of Bangladesh (FIAB) and the Bangladesh Poultry Industries Central Council (BPICC), around 150 registered feed companies are producing and marketing commercial feed for poultry, aquaculture, and dairy cattle in Bangladesh. Additionally, many unregistered small and cottage-type feed producers operate across the country, formulating feed using their own methods, which often fail to maintain standard quality.

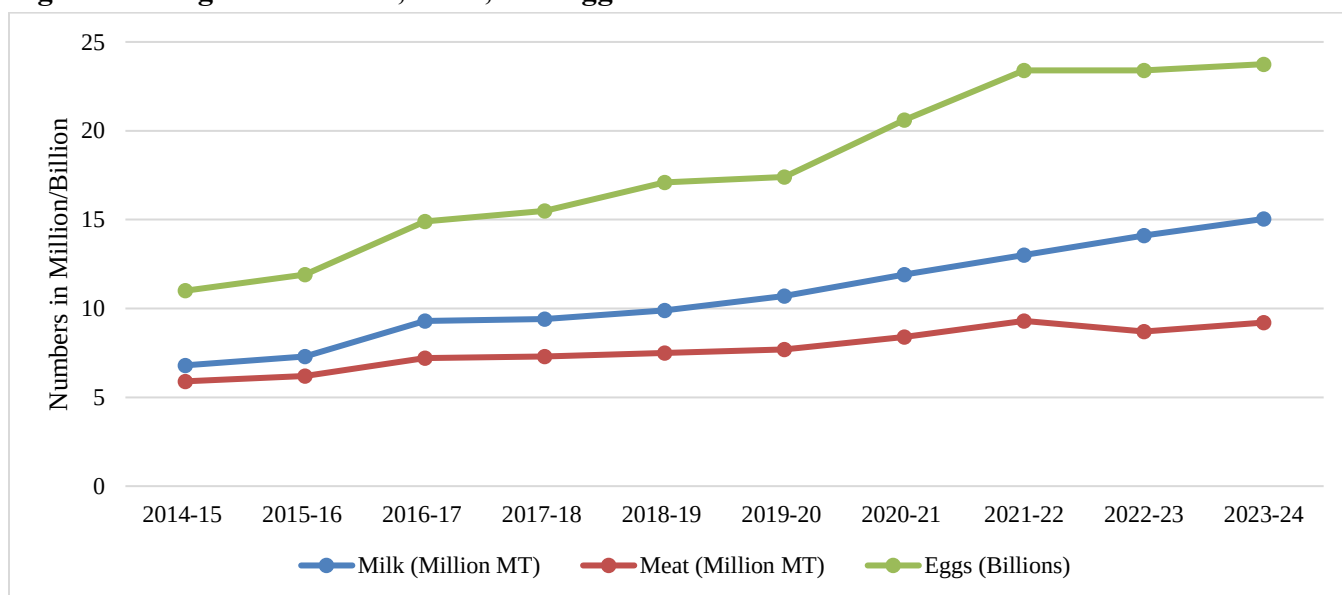
Industry contacts noted that feed prices this year have decreased slightly from last year. A more stable exchange rate of the U.S. dollar and stable international prices of major feed ingredients have helped maintain price stability. Moreover, as Bangladesh's economy is recovering following the political

regime change in August 2024, small and medium-sized feed companies are starting to be able to open letters of credit to import raw materials for feed production. Additionally, locally crushed soybean meal prices have dropped significantly to BDT 56 (\$0.46) in MY 2024/25 compared to BDT 65 (\$0.54) the previous year. Poultry feed prices are at BDT 56,000 (\$463) – 62,000 (\$512) per MT, six percent lower compared to a year ago. As of February 2025, the average price of aqua and cattle feed also range from BDT 60,000 (\$495) – 65,000 (\$537) per MT.

Status of the Livestock and Poultry Sector

The sector is growing with the population growth of the country. According to Department of Livestock Services (DLS) data, the production of milk, meat, and eggs continues to grow (Figure 3).

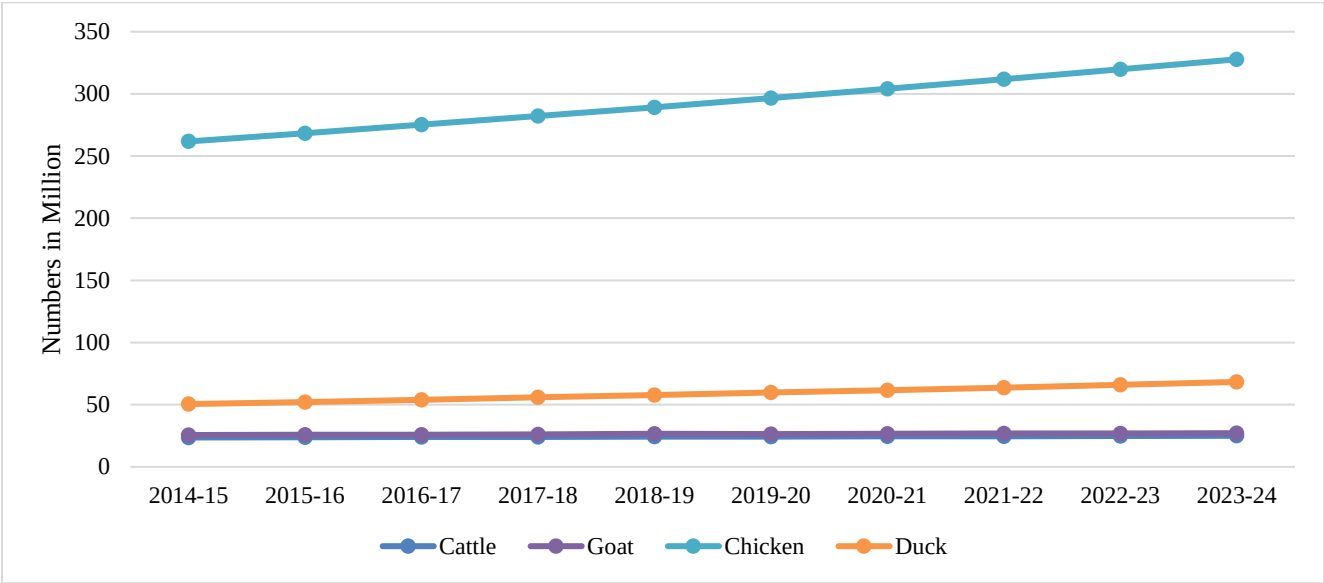
Figure 3: Bangladesh’s Milk, Meat, and Egg Production



Source: Livestock Economy, DLS, 2024

Per DLS data, in FY 2023-24, the poultry flock was 2.7 percent higher than the previous year due to expansion of some larger commercial farms. Additionally, there was an increase in the number of dairy cows, sheep, and goats (Figure 4). Every year there is slight increase in demand for cows, sheep, and goats during Eid-ul-Adha.

Figure 4: Livestock and Poultry Population in Bangladesh

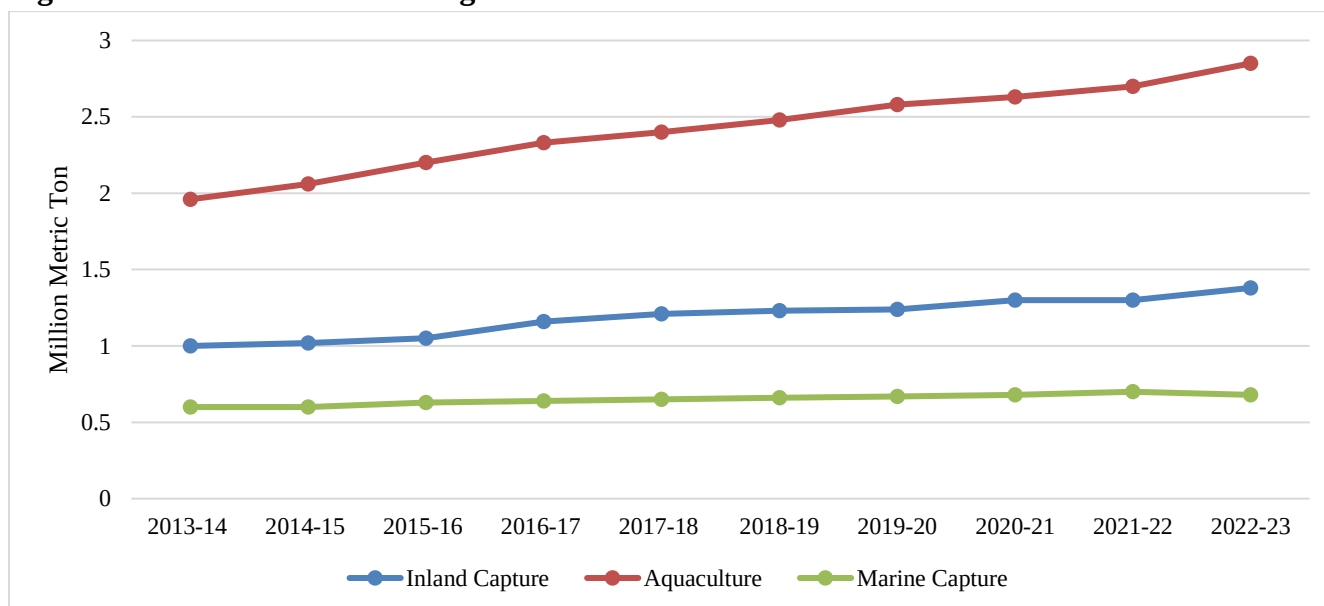


Source: Livestock Economy, DLS, 2024

Fisheries Production

Over five million households throughout Bangladesh rely on aquaculture for their livelihoods, with fish serving as a traditional staple food for many. The fisheries industry has been experiencing steady growth and starting to use feed containing high levels of soybean meal and DDGS (Figure 5). Many aquaculture farmers have engaged in semi-intensive cultivation, as it offers higher returns and increased production. This method is a balance between traditional extensive farming and intensive farming by incorporating controlled feeding, improved water management, and moderate stocking densities. As a result, farmers can achieve better yields while maintaining cost efficiency. Soybean meal is used as a protein source in floating aquafeed.

Figure 5: Fish Production in Bangladesh



Source: Yearbook of Fisheries Statistics of Bangladesh, 2023

Industrial Consumption and Food Use

There is no industrial use of soybean meal.

Trade

For MY 2025/26, Post forecasts soybean meal imports at 1 million MT, slightly higher than MY 2024/25 estimate, expecting continued demand in the feed industry. Preferred sources include Brazil, Argentina, the United States, and India.

Smaller feed producers import soybean meal in combined shipments to obtain price benefits over the locally produced soybean meal. The stabilized exchange rate has made it easier for small and medium feed companies to open LCs.

Post lowers the MY 2024/25 soybean meal imports estimate to 950,000 MT. Per NBR data, in the first seven months of MY 2024/25, Bangladesh imported 474,000 MT of soybean meal with Brazil supplying over 50 percent.

Post contacts mentioned that feed millers prefer imported soybean meal due to its higher quality, better protein content, and desirable moisture levels compared to domestically produced meal. Moreover, importing soybean meal provides feed millers with a price advantage of 2-3 Taka per kilogram. A soybean meal importer noted that the FOB price of Brazilian soybean meal in February 2025 was \$400 per MT, while India offered a lower price at \$388 per MT. There is no import tariff on soybean meal for the feed industry; however, there is a three percent Advance Income Tax (AIT). As a result, the importer will acquire the soybean meal at around 52-53 Taka per kg.

In MY 2023/24, Bangladesh imported 1.06 million MT of soybean meal. Brazil exported 404,586 MT followed by Argentina (346,916 MT), and India (227,755 MT).

Rapeseed Meal

Production

Post forecasts MY 2025/26 rapeseed/mustard meal production at 970,000 MT, up 2.1 percent from the MY 2024/25 estimate. With high domestic production of rapeseed/mustard along with some imported seed, the industry is expected to sustain increased levels of crushing. As the overall demand for edible oil continues to rise in Bangladesh, the demand for mustard oil is also increasing. This growth will lead to a higher volume of mustard seed crushing, resulting in higher production of rapeseed/mustard meal in MY 2025/26.

In MY 2024/25 Post estimates rapeseed/mustard meal production at 950,000 MT.

Trade

Along with the domestic production of rapeseed/mustard meal, Bangladesh imports a substantial amount every year mostly from India. For MY 2025/26, Post forecasts rapeseed/mustard meal imports stable at 500,000 MT based on the demand in the feed industry. The feed industry uses 4-5 percent rapeseed meal in feed rations. However, the amount varies on the price of rapeseed versus other relevant feed ingredients.

Per TDM, Post estimates MY 2024/25 rapeseed/mustard imports at 500,000 MT. During the first two months of MY 2024/25, approximately 60,000 MT of rapeseed meal was imported from India. In MY 2023/24, the total rapeseed/mustard imports were 461,000 MT from India only.

Feed Consumption

Raw rapeseed/mustard meal has been used as cattle feed in Bangladesh for many years. Usually, livestock farmers feed rapeseed/mustard meal directly to their cattle, and sometimes they also add it to rice straw before feeding the animals. However, with the evolution of formulated feed, rapeseed/mustard meal is now extensively used in prepared poultry, cattle, and aqua feed. Based on the various combination of feed ingredients, a 4-5 percent rapeseed/mustard meal is used in different types of feed.

For MY 2025/26, Post forecasts rapeseed/mustard meal feed consumption at 1.5 million MT, with the majority being utilized by the commercial feed industry. Post increases the estimate for MY 2024/25 rapeseed/mustard meal consumption to 1.45 million MT, on higher imports and increased volume of commercial feed production.

Industrial Consumption

Rapeseed/mustard meal is a good source of organic fertilizer with nitrogen, phosphorus, and potassium that promote robust plant growth. With the development of urban and rooftop farming practices in Bangladesh, the demand for rapeseed/mustard meal has increased over the last decade. Some farmers also use it as soil additive for cultivating high value crops. Post forecasts MY 2025/26 industrial consumption of rapeseed/mustard meal at 15,000 MT. For MY 2024/25, Post estimates rapeseed/mustard meal industrial consumption at 10,000 MT, on higher demand for fertilizer in urban areas.

Stocks

Usually, feed millers maintain some stocks of rapeseed/mustard meal for a few months only. There are no government held stocks of rapeseed/mustard meal. Post forecasts MY 2025/26 ending stocks at 94,000 MT. Post estimates MY 2024/25 rapeseed/mustard meal ending stocks at 139,000 MT. The local mustard seed crushers also maintain some stocks to sell to local feed producers and cattle farms. Usually rapeseed/mustard meal is stored in sacks.

OILS SITUATION AND OUTLOOK

Among the oilseeds produced in Bangladesh, only mustard and sunflower are crushed for edible oil production. Other commonly consumed edible oils in the country include palm oil, soybean oil, and rice bran oil. Domestically produced oilseeds meet approximately 15 percent of Bangladesh's edible oil demand, while the remainder is imported either as crude oil or as oilseeds.

Bangladesh requires approximately 3.4 million MT of edible oil annually, with palm oil making up 50 percent, soybean oil 28 percent, mustard oil 19 percent, and other oils accounting for the remaining 3 percent. Palm oil tends to dominate among all other edible oils due to its availability, wider use in the food industry, and lower price.

Soybean Oil and Palm Oil

Production

Domestically produced soybeans are not utilized in oil production; only imported soybeans are used for oil extraction. The crush industry supplies around 40 percent of the soybean oil. The rest of the soybean oil is imported as crude oil by more than 10 oil refineries. The major edible oil refineries include Bangladesh Edible Oil Ltd (BEOL), City Group, Meghna Group, T.K. Group, Bashundhara Multi Food Products, Smile Food Products, Sena Edible Oil Industries, Vott Oil Refineries Ltd, and Delta Agro Food Industries. Soybean crushing produces both oil and meal, offering diversification but requires large-scale infrastructure investments and is dependent on local oil and meal prices. In contrast, crude soybean oil refining involves high processing costs, as it requires paying import tariffs and VAT on processing.

For MY 2025/26, Post forecasts soybean oil production to reach 450,000 MT, on an increase in soybean imports. For MY 2024/25, Post estimates soybean oil production to be 415,000 MT, based on higher soybean imports and increased crushing, a 14 percent increase from the previous marketing year.

Bangladesh does not produce any palm oil.

Prices

Edible Oil Price Volatility Continues

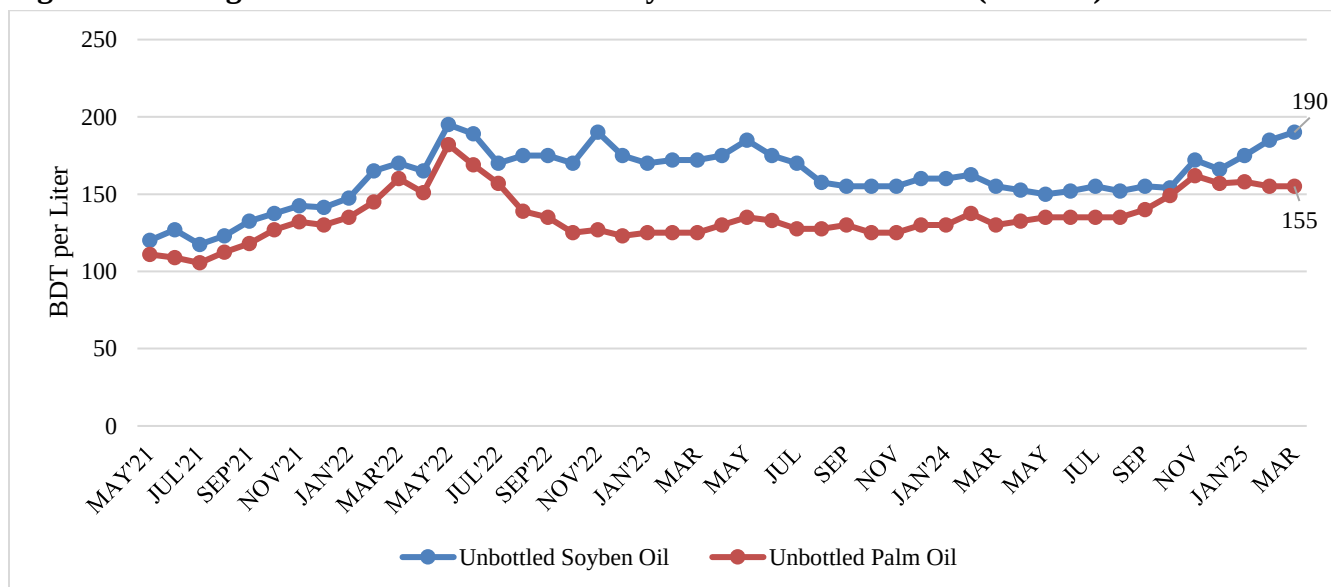
In Bangladesh, most people use soybean oil and palm oil for cooking. These two oils make up about 80 percent of all the cooking oil people buy. Starting in July 2021, the prices of all cooking oil started to rise. Then, when Russia invaded Ukraine in February 2022, the situation got worse, by May 2022, the prices of soybean oil and palm oil reached record highs. In the first half of 2024 the edible oil prices came down slightly, however, from September 2024 the price rose again.

To regulate the edible oil market, the Government of Bangladesh (GoB) holds periodic meetings with oil traders and refiners to set a maximum retail price (MRP) for bottled soybean and palm oil. However, there are no price regulations for unbottled soybean or palm oil.

As of the first week of March 2025, the GoB set the price of bottled soybean oil at BDT 178 (\$1.80) per liter and bottled palm oil at BDT 160 (\$1.30) per liter. In contrast, the price of unbottled soybean oil reached BDT 190 (\$1.60) per liter, which is BDT 12 higher than bottled soybean oil. Due to the higher prices of unbottled soybean oil over the bottled soybean oil, there is a lower supply of bottled soybean oil in the market. In contrast, the supply of unbottled soybean oil has increased.

The price of unbottled palm oil has reduced slightly since November 2024 down to BDT 155 (\$1.30) per liter in March 2025 (Figure 6).

Figure 6: Average Retail Price of Unbottled Soybean Oil and Palm Oil (2021-25)



Source: TCB, 1 USD = 121 BDT

Trade

Soybean Oil Imports Rise

For MY 2025/26, Post forecasts soybean oil imports at 750,000 MT, the same as the MY 2024/25 estimate, assuming continued strong demand.

According to TDM, in first seven months of MY 2024/25, 485,000 MT of soybean oil had been imported. Additionally, some local news sources reported that around 130,000 MT of soybean oil was expected to arrive by March 2025 to meet the additional soybean oil demand during Ramadan.

Bangladesh imports most of the crude soybean oil from South America. In MY 2023/24, Bangladesh imported 53 percent of its crude soybean oil from Argentina, followed by Brazil (25 percent), and

Paraguay (22 percent). Bangladesh primarily relies on South American crude soybean oil due to its price advantage.

Palm Oil Imports Rise

Post forecasts MY 2025/26 palm oil imports at 1.75 million MT, up 4.4 percent from Post's MY 2024/25 estimate, assuming increased demand. In MY 2024/25, Post estimates palm oil imports at 1.68 million MT. The demand for palm oil has increased as it has a lower price compared to soybean oil.

In MY 2023/24, Indonesia was the major supplier of palm oil to Bangladesh, supplying 79 percent of total palm oil while Malaysia supplied the remaining 21 percent.

Bangladesh also exports small amounts of palm oil to neighboring countries. For MY 2025/26, Post forecasts palm oil exports at 5,000 MT. Post estimates MY 2024/25 palm oil exports at 5,000 MT. According to TDM, Bangladesh reexported 3,000 MT of palm oil to India in MY 2023/24.

Consumption

Food Consumption Rises

The total annual demand for edible oil in Bangladesh is about 3.2 million MT. According to various news sources, the demand for edible oil has been steadily increasing over the last 10 years due to rising household consumption and the growing number of restaurants and fast-food establishments. The changing food habits of young people, particularly the increasing preference for ready-to-cook and fried foods, have also contributed to the higher demand for edible oil. Typically, soybean oil and palm oil are substitute products in Bangladesh. In recent years, mustard oil has gained popularity as an alternative to soybean oil for many consumers at the household level. Most middle and high-income consumers prefer soybean oil, while low-income consumers prefer palm oil due to its lower price. Palm oil is widely used in the food processing industry.

According to Post's calculation, per capita vegetable oil consumption in Bangladesh is around 17 kgs per annum based on the total annual domestic consumption of soybean oil, palm oil, and mustard oil.

There is no consumption of vegetable oil in biofuel production. However, there are some industrial uses of palm oil that include making lubricants, inks, cosmetics, and soaps. Around 50,000 to 75,000 MT of palm oil goes to industrial use annually.

For MY 2025/26, Post forecasts soybean oil and palm oil total domestic consumption at 1.2 million and 1.8 million MT, respectively. Post estimates MY 2024/25 soybean oil consumption at 1.1 million MT. Post's MY 2024/25 palm oil consumption estimate is 1.7 million MT.

Rapeseed Oil

Production

Edible oil extracted from rapeseed and mustard seed is marketed as mustard oil in Bangladesh. Post forecasts MY 2025/26 rapeseed/mustard oil production at 700,000 MT on high domestic production of rapeseed/mustard as well as imports. There are several private companies who produce mustard oil and sell bottled mustard oil throughout the country.

For MY 2024/25, Post increased the estimate of rapeseed/mustard oil production to 680,000 MT, based on higher rapeseed imports.

Major market players in the rapeseed/mustard oil sector are Partex Group, Pran Foods Limited, City Group, ACI, and Orion Group. These companies use mostly imported rapeseed with some locally produced mustard seed. There are many local mustard oil crushing mills that use domestically produced mustard and rapeseed to extract oil for local sale. According to contacts, more than 50 percent of domestically produced rapeseed and mustard seed goes to these local crushing mills. Bangladesh does not import any rapeseed/mustard oil.

Trade

Bangladesh does not import rapeseed or mustard oil. However, it exports a substantial amount, primarily to Middle Eastern countries, including Bahrain, Saudi Arabia, Qatar, and Malaysia. Post assumes that the Bangladeshi community and overseas workers living in the Middle East will demand more mustard oil in the coming years. For MY 2025/26, Post forecasts rapeseed/mustard oil exports at 150,000 MT, a 15.4 percent increase from the estimated 130,000 MT in MY 2024/25. Based on TDM data, Bangladesh exported 71,000 MT of rapeseed/mustard oil in the first four months of MY 2024/25.

Consumption

Traditionally, many Bangladeshi consumers prefer mustard oil for cooking and food preparation purposes over soybean and palm oil due its strong flavor and aroma. A few years ago, the price of mustard oil was almost double the price of soybean oil. However, the higher production of mustard oil has brought down its price. There is no government regulation of the price of mustard oil. The retail price of unbottled mustard oil varies across different districts. Similarly, the price of bottled mustard oil fluctuates depending on the brand or local company. Currently, the price range for unbottled mustard oil is approximately BDT 160-180 (\$1.30 - 1.50) per liter, while bottled mustard oil typically ranges from BDT 200-350 (\$1.70-2.90) per liter. Thus, mustard oil is currently very price competitive to soybean oil, boosting the consumption of mustard oil in Bangladesh.

In MY 2025/26, Post forecasts rapeseed/mustard oil total domestic consumption at 550,000 MT, with the vast majority going to food use. Post estimates MY 2024/25 rapeseed/mustard oil consumption at 543,000 MT.

Stocks

Post forecasts MY 2025/26 rapeseed/mustard oil stocks at 34,000 MT, the same as MY 2024/25.

Typically, local mustard oil crushers do not store oil for more than two to three months. However, large-scale oil producers maintain some stock, either in bottles or oil containers.

PSD Tables

Oilseed, Soybean Market Year Begins	2023/2024		2024/2025		2025/2026	
	Jul 2023		Jul 2024		Jul 2025	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Bangladesh						
Area Planted (1000 HA)	82	82	88	90	0	92
Area Harvested (1000 HA)	80	80	88	90	0	92
Beginning Stocks (1000 MT)	114	114	269	174	0	174
Production (1000 MT)	145	145	150	155	0	160
MY Imports (1000 MT)	2020	2020	2200	2200	0	2400
Total Supply (1000 MT)	2279	2279	2619	2529	0	2734
MY Exports (1000 MT)	0	0	0	0	0	0
Crush (1000 MT)	2000	2000	2150	2200	0	2400
Food Use Dom. Cons. (1000 MT)	5	5	5	5	0	5
Feed Waste Dom. Cons. (1000 MT)	5	100	5	150	0	150
Total Dom. Cons. (1000 MT)	2010	2105	2160	2355	0	2555
Ending Stocks (1000 MT)	269	174	459	174	0	179
Total Distribution (1000 MT)	2279	2279	2619	2529	0	2734
Yield (MT/HA)	1.8125	1.8125	1.7045	1.7222	0	1.7391
(1000 HA), (1000 MT), (MT/HA)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Oilseed, Rapeseed Market Year Begins	2023/2024		2024/2025		2025/2026	
	Oct 2023		Oct 2024		Oct 2025	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Bangladesh						
Area Planted (1000 HA)	0	1097	0	1040	0	1100
Area Harvested (1000 HA)	1097	1097	1100	1040	0	1100
Beginning Stocks (1000 MT)	62	62	129	137	0	102
Production (1000 MT)	1607	1425	1430	1350	0	1450
MY Imports (1000 MT)	300	300	200	350	0	330
Total Supply (1000 MT)	1969	1787	1759	1837	0	1882
MY Exports (1000 MT)	0	0	0	0	0	0
Crush (1000 MT)	1650	1550	1500	1620	0	1680
Food Use Dom. Cons. (1000 MT)	20	20	20	25	0	25
Feed Waste Dom. Cons. (1000 MT)	170	80	140	90	0	100
Total Dom. Cons. (1000 MT)	1840	1650	1660	1735	0	1805
Ending Stocks (1000 MT)	129	137	99	102	0	77
Total Distribution (1000 MT)	1969	1787	1759	1837	0	1882
Yield (MT/HA)	1.4649	1.299	1.3	1.2981	0	1.3182
(1000 HA), (1000 MT), (MT/HA)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Meal, Soybean Market Year Begins Bangladesh	2023/2024		2024/2025		2025/2026	
	Jul 2023		Jul 2024		Jul 2025	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	2000	2000	2150	2200	0	2400
Extr. Rate, 999.9999 (PERCENT)	0.789	0.789	0.7893	0.7864	0	0.7813
Beginning Stocks (1000 MT)	232	232	367	367	0	342
Production (1000 MT)	1578	1578	1697	1730	0	1875
MY Imports (1000 MT)	1061	1061	1050	950	0	1000
Total Supply (1000 MT)	2871	2871	3114	3047	0	3217
MY Exports (1000 MT)	0	0	0	0	0	0
Industrial Dom. Cons. (1000 MT)	0	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	4	4	4	5	0	5
Feed Waste Dom. Cons. (1000 MT)	2500	2500	2810	2700	0	2900
Total Dom. Cons. (1000 MT)	2504	2504	2814	2705	0	2905
Ending Stocks (1000 MT)	367	367	300	342	0	312
Total Distribution (1000 MT)	2871	2871	3114	3047	0	3217
(1000 MT), (PERCENT)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Meal, Rapeseed Market Year Begins Bangladesh	2023/2024		2024/2025		2025/2026	
	Oct 2023		Oct 2024		Oct 2025	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	1650	1550	1500	1620	0	1680
Extr. Rate, 999.9999 (PERCENT)	0.5697	0.5806	0.57	0.5864	0	0.5774
Beginning Stocks (1000 MT)	123	123	189	149	0	139
Production (1000 MT)	940	900	855	950	0	970
MY Imports (1000 MT)	461	461	400	500	0	500
Total Supply (1000 MT)	1524	1484	1444	1599	0	1609
MY Exports (1000 MT)	0	0	0	0	0	0
Industrial Dom. Cons. (1000 MT)	10	10	10	10	0	15
Food Use Dom. Cons. (1000 MT)	0	0	0	0	0	0
Feed Waste Dom. Cons. (1000 MT)	1325	1325	1300	1450	0	1500
Total Dom. Cons. (1000 MT)	1335	1335	1310	1460	0	1515
Ending Stocks (1000 MT)	189	149	134	139	0	94
Total Distribution (1000 MT)	1524	1484	1444	1599	0	1609
(1000 MT), (PERCENT)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Oil, Soybean Market Year Begins Bangladesh	2023/2024		2024/2025		2025/2026	
	Jul 2023		Jul 2024		Jul 2025	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	2000	2000	2150	2200	0	2400
Extr. Rate, 999.9999 (PERCENT)	0.182	0.182	0.1823	0.1886	0	0.1875
Beginning Stocks (1000 MT)	20	20	24	24	0	49
Production (1000 MT)	364	364	392	415	0	450
MY Imports (1000 MT)	575	575	650	750	0	750
Total Supply (1000 MT)	959	959	1066	1189	0	1249
MY Exports (1000 MT)	0	0	15	5	0	5
Industrial Dom. Cons. (1000 MT)	85	85	85	85	0	90
Food Use Dom. Cons. (1000 MT)	850	850	935	1050	0	1100
Feed Waste Dom. Cons. (1000 MT)	0	0	0	0	0	0
Total Dom. Cons. (1000 MT)	935	935	1020	1135	0	1190
Ending Stocks (1000 MT)	24	24	31	49	0	54
Total Distribution (1000 MT)	959	959	1066	1189	0	1249
(1000 MT), (PERCENT)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Oil, Palm Market Year Begins Bangladesh	2023/2024		2024/2025		2025/2026	
	Jul 2023		Jul 2024		Jul 2025	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (1000 HA)	0	0	0	0	0	0
Area Harvested (1000 HA)	0	0	0	0	0	0
Trees (1000 TREES)	0	0	0	0	0	0
Beginning Stocks (1000 MT)	58	58	154	154	0	100
Production (1000 MT)	0	0	0	0	0	0
MY Imports (1000 MT)	1676	1676	1600	1676	0	1750
Total Supply (1000 MT)	1734	1734	1754	1830	0	1850
MY Exports (1000 MT)	5	5	5	5	0	5
Industrial Dom. Cons. (1000 MT)	50	50	75	75	0	75
Food Use Dom. Cons. (1000 MT)	1525	1525	1495	1650	0	1675
Feed Waste Dom. Cons. (1000 MT)	0	0	0	0	0	0
Total Dom. Cons. (1000 MT)	1575	1575	1570	1725	0	1750
Ending Stocks (1000 MT)	154	154	179	100	0	95
Total Distribution (1000 MT)	1734	1734	1754	1830	0	1850
Yield (MT/HA)	0	0	0	0	0	0
(1000 HA), (1000 TREES), (1000 MT), (MT/HA)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Oil, Rapeseed Market Year Begins Bangladesh	2023/2024		2024/2025		2025/2026	
	Oct 2023		Oct 2024		Oct 2025	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	1650	1550	1500	1620	0	1680
Extr. Rate, 999.9999 (PERCENT)	0.4206	0.4129	0.4193	0.4198	0	0.4167
Beginning Stocks (1000 MT)	45	45	97	27	0	34
Production (1000 MT)	694	640	629	680	0	700
MY Imports (1000 MT)	0	0	0	0	0	0
Total Supply (1000 MT)	739	685	726	707	0	734
MY Exports (1000 MT)	5	75	5	130	0	150
Industrial Dom. Cons. (1000 MT)	2	3	0	3	0	0
Food Use Dom. Cons. (1000 MT)	635	580	655	540	0	550
Feed Waste Dom. Cons. (1000 MT)	0	0	0	0	0	0
Total Dom. Cons. (1000 MT)	637	583	655	543	0	550
Ending Stocks (1000 MT)	97	27	66	34	0	34
Total Distribution (1000 MT)	739	685	726	707	0	734
(1000 MT), (PERCENT)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Attachments:

No Attachments